II

I summarized what we were doing on inclusion in a speech in Hyderabad on 18 July 2016 delivered to the National Seminar on Equity, Access, and Inclusion. During my term, I was trying to move us away from a belief that mandates to the public sector banks would solve the problem of inclusion. Every uncompensated unprofitable mandate was effective only so long as the bureaucracy and the regulator monitored the banks closely. However, if banks could game the monitor and avoid the mandate, they would. This was understandable since, ultimately, we held even public sector bank CEOs responsible for profits.

To end this cat and mouse game, I wanted us to focus more on creating an enabling environment where the poor customer was seen as attractive, and worth serving, even while we had safeguards in place to prevent her from being exploited. I have to admit our success here was mixed – even as the RBI tried to create the enabling environment, the government seemed more convinced that mandates like the Jan Dhan Yojana and the Mudra scheme (for small loans) would work better. Of course, the two could co-exist. The government was probably right that in the short run, the public sector banks could be pushed to deliver specific mandates. So, for example, they could be enlisted to open accounts for the poor. However, for sustainable broad-based inclusion, where banks go beyond the mandate to actually serve the poor customer well, we have to create the right environment where inclusion is an attractive, though not exploitative, proposition. So, for example, it is important to compensate banks adequately for the transfer of government-provided direct benefits into newly opened accounts. If the accounts are even moderately profitable as a result, banks would have the incentive to improve the quality of their service and compete for the poor customer. In this vein, while supporting the government's agenda we also pushed for a change in the environment for inclusion.

The Changing Paradigm for Financial Inclusion

What are the economic impediments to greater financial inclusion? Perhaps the most important is the economic